

THE SESSION · POST-CLOSE READ

Oil Eases, *Chips Rise*

Brent slipped about 2% on hopes the Strait of Hormuz could reopen, and chipmakers led as the S&P 500 closed the week higher with the 10-year Treasury yield near 5.19%. Dividend Strategy +0.64% beat DVY and SPY; Growth Portfolio -0.26% trailed IUSG.

S&P 500 ▲ 0.49%

NASDAQ ▲ 0.48%

DOW ▲ 0.93%

VIX 14.9

BRENT ▼ \$104

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.64%

1-DAY

FCI		+0.64%
DVY		+0.25%
SPY		+0.54%

YTD +17.83% vs DVY +12.26% · SPY +14.00%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.26%

1-DAY

FCI		-0.26%
IUSG		+0.60%

YTD +23.82% vs IUSG +16.62%

THE SESSION

Friday brought relief from the oil market, if not yet from the bond market. The S&P 500 rose 0.49%, or 38 points, to 7,742; the Nasdaq added 0.48% to 27,069 and the Dow gained 0.93%, or 479 points, to 51,829, and all three finished the week higher. Brent fell 2.14% to settle near \$104 and WTI 2.33% to \$92.41 after Iran asked the U.S. to return to the June memorandum of understanding, lifting hopes that the Strait of Hormuz could reopen. Treasuries gave less ground. The 10-year yield ended near 5.19% after touching its highest level since June 2007 on Thursday, and the 30-year held above 5.5%, while the 2-year eased to about 4.87%. Futures pricing put the odds of an October Fed hike near 66%. President Xi's state visit closed with the trade truce extended two months to January 10 and no change to export restrictions on advanced chips. The split in the semiconductor holdings that opened the day resolved higher, led by analog, connectivity and equipment names rather than the AI-compute leaders. The VIX fell 5.1% to 14.9.

The Dividend Strategy rose 0.64%, ahead of DVY's 0.25% by 0.39 point and SPY's 0.54% by 0.09 point, with nineteen of twenty-five holdings higher. The semiconductor and connector holdings did most of the work. Qualcomm gained 3.92% to \$201.87 as buyers returned to the Apple license renewal that had drawn sellers on Thursday; Analog Devices rose 2.87%, Lam Research 2.62% and TE Connectivity 2.34%. Caterpillar added 2.03% on a day the Dow led the major indexes, and NatWest rose 1.93%. The defensive names took part: Church & Dwight +1.08%, Stryker +0.97% and Colgate-Palmolive +0.87%, while NextEra steadied with a 0.61% gain after Thursday's 1.82% decline. Nutrien was the largest decliner at -2.34%, with Lockheed Martin -0.79%, Steel Dynamics -0.65%, Fastenal -0.59% and Old Republic -0.53% also lower.

Yields ended the week near levels last seen in 2007, and the market still closed it higher. A higher rate changes what investors pay for earnings; it does not change the work a good business does to produce them.

The Growth Portfolio declined 0.26% while IUSG rose 0.60%, trailing by 0.86 point, with twelve of twenty-five holdings higher. The chip holdings led here too: Credo rose 7.65% to \$210.97 for a ninth straight gain and NXP 3.41%, with Keysight +1.29% and Marvell +1.15%, while NVIDIA (+0.22%), AMD (+0.22%) and TSM (-0.12%) were little changed after the summit. The gap to IUSG came from groups outside the chip trade. Pagaya fell 5.88% after Wednesday's 9.9% decline, and SoFi (-1.31%) and Robinhood (-1.18%) eased, though Synchrony rose

1.94%. Hut 8 declined 4.65% and MARA 2.86% as bitcoin slipped, with IBIT -0.50% and ETHA -0.10%. ONEOK (-2.80%), CNX (-1.86%) and Chevron (-0.59%) followed crude lower, and Fortinet (-2.92%) and ServiceNow (-1.57%) declined. Toll Brothers rose 1.10% as the 2-year yield eased. On the year, the Dividend Strategy stands at +17.83% against DVY's +12.26%, a +5.57-point spread, with SPY at +14.00%; the Growth Portfolio stands at +23.82% against IUSG's +16.62%, a +7.20-point spread.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

CRDO +7.65%

GROWTH

A ninth consecutive gain to \$210.97, roughly 40% above its mid-September low near \$150, on continued AI data-center connectivity demand.

QCOM +3.92%

DIVIDEND

Buyers returned to Thursday's renewal of the Apple patent license, effective April 1, 2027, after the news drew sellers a day earlier.

DECLINERS

PGY -5.88%

GROWTH

Extended Wednesday's 9.9% decline to close at \$17.62; no company-specific release.

HUT -4.65%

GROWTH

Declined with the bitcoin-linked holdings as IBIT slipped 0.50% and MARA 2.86%; no company-specific release.

NXPI +3.41%

GROWTH

Recovered Thursday's 2.24% decline as the analog and mixed-signal holdings advanced; no company-specific release.

ADI +2.87%

DIVIDEND

Rose to \$393.60 with the analog group, more than recovering Thursday's 0.68% dip; no company-specific release.

FTNT -2.92%

GROWTH

Eased to \$173.46 from near its 52-week high of \$181.37; a Form 144 notice of a proposed insider sale was filed Friday.

NTR -2.34%

DIVIDEND

The Dividend Strategy's largest decliner, closing at \$72.23; no company-specific release.

HOLDINGS NEWS

Qualcomm renews its Apple patent license. Qualcomm announced Thursday that its global patent license agreement with Apple has been renewed, effective April 1, 2027, when the current agreement from the 2019 settlement and its later extension runs out. Financial terms and duration were not disclosed. The renewal keeps the licensing division's royalty stream from iPhone sales in place even as Apple uses more of its own modems, and it arrived during the Snapdragon Summit, where Qualcomm introduced its next flagship mobile platforms. The shares slipped Thursday before recovering today.

Credo extends its rebound to nine sessions. Credo has climbed from a mid-September low near \$150 to \$210.97. The move follows fiscal first-quarter revenue of \$479 million, up 115% from a year earlier and above the top of management's guidance, and a target of more than \$600 million in optical revenue for fiscal 2027. Mizuho lowered its price target to \$245 from \$290 last week while keeping a positive view. The shares remain below their late-August level.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+17.83%

vs DVY +12.26% / SPY +14.00%

Spread vs DVY +5.57 pts

GROWTH PORTFOLIO

+23.82%

vs IUSG +16.62%

Spread vs IUSG +7.20 pts